Short Only Web3 Fund: Strategy 1 Guide

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Strategy 1 shorts a token's perpetual future at the hour a major exchange lists it and covers 7 days later. Across 239 listings since October 2024 that could be shorted on Binance, Bybit or Gate, the trade made +14.3% on average after fees and funding (90% range +11.8% to +16.7%), and 79% of trades made money. Market depth caps profit at roughly $6M a year at full edge, so the strategy fits a fund of about $2.5M to $10M best.

The trade

When a major exchange lists a token, the price has usually risen in the week before and drifts down over the following week. We short into that decline.

1. Detect a qualifying listing: Upbit opening a KRW market, Coinbase or Binance adding spot trading for a token.
2. At the listing hour, open a short on a perpetual future that already trades on Binance, Bybit or Gate.
3. Hold 7 days (168 hours), then cover.
4. Size each trade at up to 10% of the fund, capped at 2% of the token's perp open interest. Keep total open shorts at or below 100% of the fund.

Two kinds of listing qualify:

- **B (existing token):** a token already trading elsewhere for 7+ days gets added by Upbit, Coinbase or Binance. Most of the edge comes from these.
- **A (new token on Upbit):** a token's first exchange listings, when Upbit is among them.

Evidence

Upbit and Binance listings of tokens that already trade elsewhere are the strongest signal: they fall about 19-20% in the week after listing, and over 79% of shorts win. We checked 1,585 listings across eight exchanges from October 2024 to October 2026, using hourly prices.

Listing group	Events	Rise in the 7 days before (mean / median)	7-day short, after 0.2% costs	90% range	Net of funding (events with data)	Win rate	In Strategy 1
B Upbit	110	+65% / +45%	+19.9%	+16.8 to +22.9%	+12.4% (85)	86%	Yes
B Binance	43	+77% / +16%	+18.6%	+12.2 to +25.0%	+20.3% (34)	79%	Yes
A Upbit	43	n/a (new token)	+36.1%		+24.4% (17)	95%	Yes
B Coinbase	71	+9%	+6.0%		+5.2% (50)	66%	Yes (weakest)
A Coinbase	99	n/a	+10.4%				No: squeezes of -178% and -242%
A Binance	176	n/a	+8.6%				No: fading (2026 H2 +2.5%)
A OKX	201	n/a	+6.0%				No: fading
A Gate	303	n/a	+5.3%				No: fading
B OKX			+2.9%				No: too small

B = existing token added by a new exchange; A = a token's first exchange listings. Bitget and B listings on Gate showed no reliable effect. Short returns use the reference spot price; funding is the 7-day Binance perp funding a short would have paid or received (shorts mostly paid: median -0.8%, mean -4.4% per week).

For B listings, the move happens around the listing hour itself. Listing dates by day had made Upbit look like a +31% pump after listing; with exact listing hours, the price peaks at the listing and falls afterwards.

Stability over time

The tradeable set made money in every half-year, from +10.5% to +17.8% per trade. The table counts only listings that had a perp on Binance, Bybit or Gate at the listing hour (239 trades), net of costs and funding. Cells show mean per trade and, in brackets, the number of trades.

Group	2024 H2	2025 H1	2025 H2	2026 H1	2026 H2	All (90% range)
B Upbit	+8.6% (9)	+15.0% (16)	+9.2% (28)	+14.0% (27)	+18.4% (21)	+13.3% (101), +9.7 to +16.5%

Group	2024 H2	2025 H1	2025 H2	2026 H1	2026 H2	All (90% range)
B Binance	-16.1% (3)	+23.3% (13)	+23.4% (15)	+12.6% (7)	+5.4% (5)	+16.7% (43), +10.4 to +23.2%
A Upbit	+47.6% (3)	+25.3% (11)	+33.3% (14)	+20.0% (5)	+15.6% (1)	+29.5% (34), +23.0 to +35.8%
B Coinbase	+11.4% (8)	+12.0% (19)	+3.1% (20)	-3.9% (11)	+8.1% (3)	+6.0% (61), +1.9 to +9.8%
All four	**+11.4% (23)**	**+17.8% (59)**	**+14.8% (77)**	**+10.5% (50)**	**+15.1% (30)**	**+14.3% (239), +11.8 to +16.7%**

- Win rate 79%, median trade +15.3%.
- B Upbit, the largest group, held up in every period. B Coinbase is the weak link (-3.9% in 2026 H1) and the first group to drop if the edge fades.
- B Binance has been smaller and weaker lately (+12.6%, +5.4% on few trades). Watch it.
- Funding was estimated from the group median for 53 trades with no Binance perp.

Entry timing

Short at the listing hour, not at the announcement. We matched 174 Binance listings to their announcements (median 4.3 hours before listing for existing tokens, 9 hours for new ones).

Entry (B Binance, 42 trades, 7-day exit after listing)	Mean	90% range	Win rate
Listing hour	+19.4%	+12.5 to +25.7%	81%
Announcement	+17.2%	+5.1 to +26.9%	81%
First hour after the announcement only	-3.4%	-6.7 to -0.5%	39%

- The run-up is already over by the announcement: +58.6% mean (+17.8% median) in the 7 days before it, then flat (+0.8%) from announcement to listing.
- The hour after an announcement tends to squeeze shorts, so an earlier entry adds risk for no gain.
- New tokens (A) cannot be shorted before listing: they have no market yet.
- Upbit announcement timing is untested; its notice feed is blocked from our research server.

Venues

Use Binance and Bybit as the main venues and Gate as the third: together they cover about 90% of listings at the listing hour. Coverage is the share of the 267 core listings (B Upbit, B Coinbase, B Binance, A Upbit) with a perp trading on that venue at the listing hour.

Venue	Coverage at listing hour	Limits on new contracts	Role
Bybit	86%	Not checked (API blocked from our server)	Main
Binance	73%	Deepest market; open interest median $16M in the first 48 h	Main
Gate	84%	Risk limit base $5k, max $2M per position	Third
MEXC	84%	About $5k max position for contracts under ~3 days old	Small top-ups only
KuCoin	79%	Not checked	Backup
OKX	53%	Not checked	Backup
Hyperliquid	40%	Misses the biggest run-ups	Not suitable as the main venue
Aster	37%	Not checked	No

- Pairs: Bybit + MEXC 91%, Bybit + Gate 90%, Binance + MEXC 89%; any venue 92%.
- The shortable subsets earn like the full groups (B Upbit on Bybit +19.2% vs +19.9% for all B Upbit).
- Hyperliquid's shortable B Upbit trades made +12.7% vs +19.9% overall: it tends not to list the tokens that ran up most.

Costs and capacity

Funding is the largest cost and open interest is the binding limit: at 2% of open interest a typical trade tops out near $300k. Each trade in the model carries all of these:

Item	Assumption	Source
Trading fees + spread	0.2% per round trip	Taker fees on the main venues
Funding over 7 days	Event's own Binance funding; group median when missing	Binance funding archives (218 listings): mean -4.4%, median -0.8%, worst 10% below -12.8%
Market impact	0.10 × √(trade size ÷ 24 h perp volume), each way	Square-root impact rule; 0.26% round trip at $38k trades, 0.65% at $290k
Position cap	2% of the token's perp open interest	Binance open interest over the first 48 h

Market depth after listings (Binance perps, first 48 hours):

- Open interest: median $16.0M, weakest 10% below $5.5M, top 10% above $69M.
- Perp volume, first 24 h: median $354M, weakest 10% below $32M.
- Weakest single hour: median $3.9M, weakest 10% below $0.29M. Enter and exit over several hours on thin tokens.

At 2% of open interest, the median trade can be about $320k, but the weakest 10% only about $110k. Bybit and Gate add depth beyond these Binance-only numbers, so the cap is conservative.

Risk

The danger is a short squeeze. The worst trade lost 92% of its size, and one token rose 145% at some point during the hold. We control this with position size rather than stop-losses.

Stop-loss test (all 239 trades; buy back once the price is X% above entry, checked on hourly closes):

Stop	Mean per trade	90% range	Win rate	Trades stopped	Worst trade
None	+14.3%	+11.8 to +16.7%	79%	0	-92%
+100%	+13.0%	+10.0 to +15.8%	79%	4	-121%
+40%	+12.9%	+10.3 to +15.4%	78%	15	-121%
+25%	+11.0%	+8.4 to +13.6%	74%	36	-121%
+15%	+10.3%	+7.8 to +12.8%	69%	54	-121%

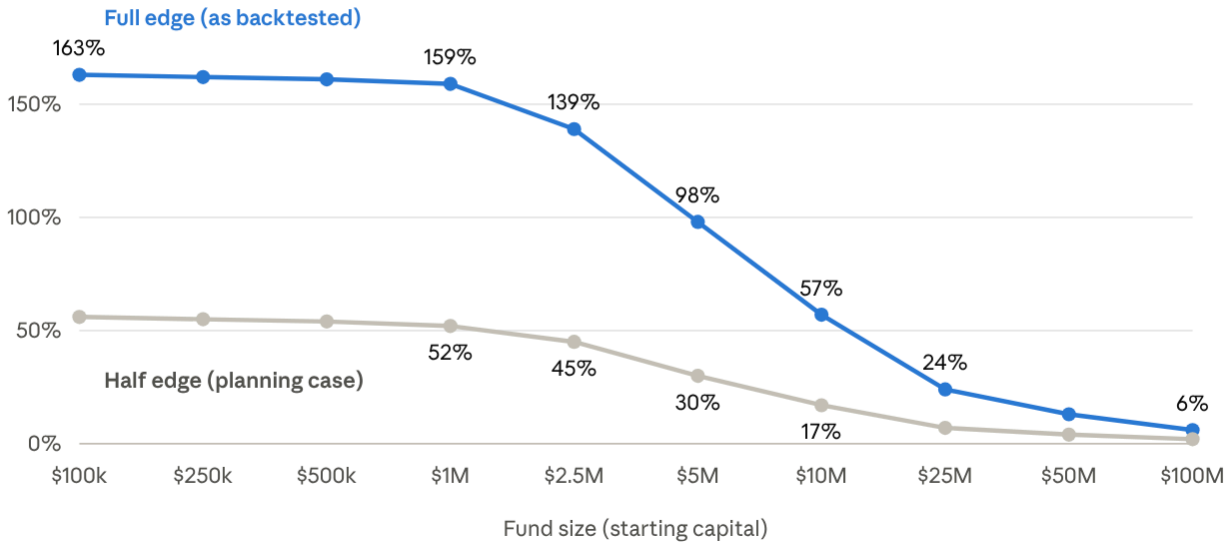
- Stops cost return and do not cap the worst case: a squeeze can jump past the stop between checks.
- With 10% of the fund per trade, the worst trade costs about 9% of the fund. The 2-year replay's deepest drawdown was 13-14% for small funds.
- Rules worth keeping: no more than 10% of the fund in one token; no more than 100% of the fund in open shorts; spread entries over a few hours on thin tokens; keep margin well above maintenance so a 150% move against one position cannot liquidate it.
- A real-time stop on exchange (not hourly) may behave better than this test; we can't check that from hourly data.

Modelled returns

Plan on the half-edge case: about 50% a year up to $1M and $1.5-1.8M of profit a year from $5M upwards. Market depth sets a ceiling of roughly $6M profit a year at full edge, whatever the fund size, so percentage returns fall as the fund grows.

Yearly return holds near 160% up to $1M, then falls to 6% at $100M

Modelled yearly return with profits paid out each year, by fund size (2-year replay, Oct 2024 to Oct 2026)



Replay of the 239 shortable listings, Oct 2024 to Oct 2026; research/listings/s1_fund.py

The model replays every shortable listing in date order with the rules in The trade, all costs from Costs and capacity, and no stop. **Full edge** uses the returns as measured. **Half edge** halves every trade's price move but keeps the full funding and impact costs; it is the planning case, since edges usually shrink once traded and the worst half-year so far was 0.7× the average.

Fund	Profit per year, paid out: full edge	Profit per year: half edge	Fund after 1 year, half edge: bad / typical / good	After 3 years, half edge (typical)	After 3 years, full edge (typical)	Deepest fall in the replay
$100k	$163k	$56k	$145k / $178k / $217k	$533k	$6.6M	-14%
$250k	$404k	$137k	$376k / $445k / $558k	$1.3M	$9.9M	-14%
$500k	$803k	$270k	$719k / $858k / $1.0M	$2.4M	$12.4M	-13%
$1M	$1.59M	$523k	$1.4M / $1.7M / $2.1M	$4.0M	$15.1M	-13%
$2.5M	$3.47M	$1.11M	$3.2M / $3.8M / $4.4M	$6.8M	$18.6M	-13%
$5M	$4.91M	$1.50M	$5.9M / $6.6M / $7.3M	$10.0M	$22.4M	-13%
$10M	$5.70M	$1.71M	$10.8M / $11.9M / $12.9M	$15.5M	$27.7M	-12%
$25M	$5.92M	$1.77M	$25.4M / $26.7M / $28.1M	$30.6M	$43.0M	-10%
$50M	$6.40M	$1.96M	$50.3M / $52.1M / $53.7M	$56.4M	$69.3M	-6%
$100M	$6.29M	$1.87M	$100.2M / $101.8M / $103.5M	$105.4M	$118.9M	-3%

- "Paid out" sizes trades on the starting capital and takes profits out each year. The 1- and 3-year columns reinvest profits.
- 1- and 3-year figures come from 200-300 simulated paths with listings arriving at the historical rate (about 115 a year): bad = worst 10% of paths, typical = median, good = best 10%.
- Figures are before fund fees. A 2% management and 20% performance fee cuts the full-edge yearly return at $10M from 46% to 37% compounded.
- Small funds hit no capacity cap, so their returns are the purest test of the edge. From $5M up, most trades hit the 2% open-interest cap (206 of 239 at $5M), and the fund sits mostly in cash (9% deployed on average at $5M, 1% at $100M). Cash could earn stablecoin or T-bill yield on top.
- Simulated paths resample past trades, so they show the luck of the draw, not the risk that the edge disappears. Losing years were rare in the simulation (up to 8.5% of paths at $100M, half edge); a fading edge is the real risk.

Fund setup in Australia

The fund is run from Australia, so venue access and structure need advice from an Australian lawyer or AFSL adviser before any account is opened. Our understanding, to be confirmed:

- Crypto perpetuals are treated as derivatives in Australia. Exchanges have limited leveraged products for retail clients; wholesale or sophisticated clients get wider access (thresholds are commonly net assets of about A$2.5M or income of about A$250k).
- Raising outside money needs a licensing route: an own AFSL, operating as an authorised representative of a licensee, or an offshore vehicle (often Cayman or BVI) for wholesale investors only.
- Each exchange decides whom it onboards based on the account holder's residence, or for a company or fund, where it is incorporated and where its directors and owners live.

Questions for the adviser:

1. Which fund structure lets us trade perps on Binance, Bybit and Gate?
2. Must investors, managers or both qualify as wholesale clients?
3. What reporting, custody and tax rules apply to a short-only crypto fund run from Australia?

Limits and next steps

The result is a backtest of 239 trades over two years; it has not been traded yet. What it does not cover:

- **Prices:** returns use spot prices on the reference exchange, not the perp's own price. Perps can trade above or below spot right after a listing.
- **Funding:** measured on Binance only; estimated from the group median for 53 trades. Bybit and Gate funding may differ.
- **Delisted tokens:** some delisted pairs are missing from OKX, Gate and Bitget data, which could flatter results slightly.
- **Capacity:** based on Binance open interest only. Real fills on thin tokens in the first hours are untested.
- **Fading edge:** listing shorts may get crowded as more traders run them. The half-edge case covers part of this.

Next steps:

- [ ] Australian legal advice on fund structure and venue access

- [ ] Live listing detector: new Upbit KRW markets, Coinbase and Binance spot listings
- [ ] Paper short book on real perp prices, funding and venue position limits, run for 2-3 months
- [ ] Small live trades to measure fills and slippage against the model
- [ ] Strategy 2+: further short signals from the co-founder, tested the same way

Scripts and data tables are in the research repo under `research/listings/` (study: `cex_*.py`; venues: `venue_*.py`; announcements: `ann_*.py`; fund model: `s1_trades.py`, `s1_fund.py`, `s1_mc_half.py`).